

SaaS Subscription & Churn

Churn Analysis Report

Dataset: RavenStack SaaS (5 relational tables)
Accounts: 500 | Subscriptions: 5,000 | Churn Events: 600 | Support Tickets: 2,000

Key Metrics

Metric	Value
Total Accounts	500
Churned Accounts	110 (22.0%)
Retained Accounts	390 (78.0%)
Total ARR	\$136,064,964
Churned ARR	\$28,262,940 (20.8%)
Avg MRR/sub	\$2268

Executive Summary

- The dataset contains 500 accounts, 5,000 subscription records, 600 churn events, and 2,000 support tickets.
- The overall churn rate is 22.0%, representing 110 lost accounts with \$28,262,940 in churned ARR (20.8% of total).
- DevTools has the highest churn rate at 31.0%, followed by FinTech at 22.3%.
- Event-sourced customers have the highest churn (30.2%), while partner-sourced customers have the lowest (14.6%).
- Top churn reasons: features (114), support (104), budget (104) -- product quality and pricing are key churn drivers.
- Escalation rate is higher for churned accounts (0.06 vs 0.05), suggesting support escalation is an early warning signal.

Key Findings

1. Industry Churn Disparity

Data: DevTools churn rate (31.0%) is nearly double that of EdTech (16.5%) and Cybersecurity (16.0%). This suggests product-market fit varies significantly by industry vertical.

Action: Conduct exit interviews with churned DevTools customers to identify missing features or integration gaps.

2. Acquisition Channel Impact

Data: Event-sourced customers churn at 30.2%, while partner-referred customers churn at only 14.6%. The acquisition channel is a strong predictor of retention.

Action: Review event activation flow; consider partner-channel expansion as a retention-friendly growth strategy.

3. Feature & Support Drive Churn

Data: Features (114 events, 19.0%) and support (104 events, 17.3%) are the top two churn reasons. Combined, they account for over a third of all churn.

Action: Prioritize feature roadmap based on churn-driven feedback. Evaluate support staffing and response SLAs.

4. Support Escalation as Early Warning

Data: Churned accounts had an escalation rate of 0.06 vs 0.05 for retained accounts. Similar overall ticket volume suggests escalation quality matters more than quantity.

Action: Implement automated alerts when an account's escalation rate exceeds 0.05, triggering customer success intervention.

Thinking Models Applied

1. Decomposition (Breakdown)

Evidence: Overall churn rate of 22.0% was decomposed by industry, plan tier, country, and acquisition channel. This revealed that DevTools alone has a 31.0% churn rate.

Takeaway: Always decompose aggregate metrics by meaningful segments before drawing conclusions.

2. Segment Divergence

Evidence: Churn rates range from 16.0% to 31.0% across industries, and from 14.6% to 30.2% across acquisition channels.

Takeaway: When segments vary by more than 2x, the average is misleading. Act on segment-level data.

3. Proxy Inference

Evidence: Support ticket escalation rate, feature usage frequency, and satisfaction score serve as proxies for churn probability.

Takeaway: Proactive retention uses behavioral proxies -- do not wait for the cancellation event.

4. Leverage Point Identification

Evidence: Event-sourced accounts (96 accounts, 30.2% churn) and DevTools industry (113 accounts, 31.0% churn) are high-leverage targets.

Takeaway: Focus retention efforts on segments where both share and churn rate are high.

5. Constraint vs. Preference

Evidence: High churn in DevTools could reflect a preference (product does not fit DevTools workflows) or a constraint (DevTools teams are more price-sensitive).

Takeaway: Preferences require product changes; constraints require process/pricing changes.

Action Recommendations

1. DevTools Industry Retention Program

Action: DevTools accounts (113) have 31.0% churn. Launch a dedicated customer success program.

Metric to Track: DevTools churn rate

Data Needed: Industry-segmented churn and usage data

2. Optimize Event-Acquired Customer Activation

Action: Event-sourced customers (96) churn at 30.2%. Improve onboarding and time-to-value.

Metric to Track: Event-sourced customer retention rate at 30/60/90 days

Data Needed: Channel-segmented activation metrics

3. Address Feature Gaps

Action: Features is the top churn reason (114 events). Conduct competitive analysis and feature gap assessment.

Metric to Track: Feature-related churn rate quarterly trend

Data Needed: Competitive feature comparison + churn feedback

4. Build Escalation Early Warning System

Action: Escalation rate divergence (0.05 retained vs 0.06 churned) is a leading indicator.

Metric to Track: Account-level escalation rate tracker

Data Needed: Real-time support ticket + escalation data